IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/857(CHE)/2019
In
CA(CAA)/83(CHE)/2019

Filed under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*
Between

M/s. Umiya Real Estate Private Limited
Reg. Off.:-
New No. 12, Old No. 76-A, G, G Block,
12th Street, Anna Nagar,
Chennai – 600 102 *...Petitioner / Transferor Company – 2*

And

M/s. Surcot Trading Pvt. Ltd.
914,Alishan Awas,
Diwali Baugathwa Gate,
Suat – 395 001 *...Transferor Company – 1*

With

M/s. Stanrose Maftlal Investments and Finance Limited
6th Floor, Popular House,
Ashram Road, Ahmedabad – 380 009 *...Transferee Company*

And

Their Respective Shareholders

Order Pronounced on 25.04.2022

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Justice (Retd.)S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner : *Praveen Kumar, Counsel on record represented by Tharish V., Advocate*
For OL : *B. Palani, Authorized Representative*

ORDER

Per: **Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

This Company Petitions have been filed by **M/s. Umiya Real Estate Private Limited** *(hereinafter referred to as the "Petitioner Company" / "Transferor Company – 2")*, for the purpose of the approval of the Composite Scheme of Arrangement (hereinafter referred to as "Scheme", as contemplated between the above company, under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') and the said Scheme is also annexed as Annexure "E" in the Company Petition.

2. The registered offices of the Transferor Company 1 and the Transferee Company are situated in the State of Gujarat which is outside the jurisdiction of this Tribunal. However, the Registered Address of the Transferor company-2 is situated within the State of Tamil Nadu.

3. From the records, it is seen that the First Motion Application was filed before this Tribunal vide CA(CAA)/83/ 2019 wherein the Petitioner Company herein had sought directions for convening, holding and conducting meeting of the Equity Shareholders and to dispense with the holding of meeting of Unsecured Creditors of the Transferor Company 2 and based on such application moved under

Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal vide order dated 08.04.2019.

4. Under the circumstances, the Petitioner Companies have filed these petitions for sanction of the 'Scheme' before this Tribunal. Directions were issued vide daily order dated 29.08.2019 in relation to the notice to the Statutory / Regulatory Authorities as well as for paper publication one in English language and one in vernacular language having wide circulation and pursuant to the same, notices have been served to the Reserve Bank of India, Regional Director, RoC, Chennai, Official Liquidator, the Income Tax Department and other regulatory authorities.

5. It is seen from the records that the Petitioner Companies have filed affidavit of service on 25.04.2019 in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected the paper publication as directed by the Tribunal in one issue of "Business Standard" in English and "Dina Mani", in Tamil on 11.04.2019. Further notices have been served to (i) Central Government (Through Regional Director, Southern Region) on 11.04.2019 (ii) Registrar of Companies Chennai on 11.04.2019 (iii) Income Tax Authority on 11.04.2019 (iv) Official Liquidator, Chennai on 11.04.2019, in compliance with the directions passed by

this Tribunal and in proof of the same acknowledgements/receipts have also been enclosed.

6. **RATIONALE OF THE SCHEME**

Part B of the scheme shows the rationale of the Scheme as follows:

> *"The amalgamation of the Transferor Companies with the Transferee Company would inter alia have the following benefits:*
>
> *1. The Transferor Company Number 1 and Transferor Company Number 2 are having financial exposure to different real estate activities/ properties. The Transferee Company is also having some exposure to real estate as a part of its lending an investment activities as NBFC. The amalgamation will bring all the real estate related activities/ properties of both the Transferor companies and the Transferee Company in one entity.*
>
> *2. This Scheme will consolidate the position of the Transferee Company and will enable the transferee company to get direct access to the assets of the Transferor Company Number 1 and Transferor Company Number 2.*
>
> *3. In order to consolidate and to achieve synergies in the business, avoid and eliminate unnecessary costs, duplication of costs of administration, it is proposed to merge all the real estate related investments into one single company. The amalgamation proposed in the Scheme will help the Transferee Company to streamline its real estate investments and will help it to carry on its business more efficiently.*
>
> *4. This Scheme will enable both the Transferor Companies to tide over its losses and the Transferee Company to function in more efficient manner and will result in reduction of overhead and other expenses and administrative and procedural work and proper and more productive utilization of resources."*

7. The Regional Director, (for brevity 'RD') Chennai to whom the notice was issued in the First Motion itself, has filed his Report on 24.07.2019 before this Tribunal and has stated that Clause 8 of Part

II of the Scheme of Amalgamation provides for the protection of the interest of the employees / staff of the Transferor Companies. It was also stated that as per the report of Registrar of Companies, Chennai the Transferor Companies are regular in filing the statutory returns and there is no prosecution filed, no complaints pending and no inspection / investigation has been ordered / pending in respect of both the companies.

Further, the RD has observed in para 8 of the Report has stated as follows:

> *"8) ...clause 10.2 of the Scheme has stated that as the net worth of both the transferor companies are in the negative there will not be any issue of new equity shares by the transferee company to the shareholders of the Transferor Company. It is further stated that as the Transferee Company has provided inter corporate deposits to the Transferor Company 1, the same shall be construed as sufficient consideration flowing from the Transferee Company for the Transfer and vesting of the undertaking of Transferee Company. Further, the inter-corporate deposits or any other transaction between the Transferor Company and Transferee Company will be cancelled in the Scheme as provided under the Accounting Standard 14. Hence the Transferee Company stating that the Inter Corporate Deposits given to the Transferor Company earlier as sufficient consideration may be taken note of by the Hon'ble Tribunal and further, the Hon'ble Tribunal may note that the shareholders of the 1st Transferor Company are not being given any consideration on account of the merger."*

8. Apart from the above observation, the Regional Director, after examining the Scheme has decided not to make any objection to the Scheme.

9. The Official Liquidator (for brevity the "OL") had filed his report on 5.12.2019 in respect of the 2nd Transferor Company

stating that the Balance Sheet from the year ending 31.03.2014 to 31.03.2018 did not give a true and fair view of the affairs of the 2nd Transferor Company and that, thereby the company has contravened the provisions of Section 129 of the Companies Act, 2013. The OL has further stated in the Report that, the 2nd Transferor Company has not kept the books of accounts and papers as envisaged in Section 128 of the Companies Act, 2013. Further, the OL had prayed before this Tribunal to direct the Registrar of Companies to issue a show cause notice to the 2nd Transferor Company for violation of the above said provisions and that orders should be passed only once the default is made good by the 2nd Transferor Company. Subsequently, the Tribunal had directed the RoC Chennai to show cause notice to the 2nd Transferor Company. The Tribunal was also of the opinion that the information given by the OL and RD is not sufficient to decide the application, and hence, it was directed by this Tribunal to the RoC Chennai and OL to file an additional affidavit as well as revised report on the following date of hearing.

10. It is submitted by the OL that, as per directions of this Tribunal vide Order dated 27.05.2020, the RoC Chennai filed his report on September 2021 and in it, it is stated that upon examination furnished by the 2nd Transferor company for the financial year 2008-09 to 2013-14, it is clear that the 2nd Transferor Company had in receipt of loan by way of Inter corporate Deposit

from the 1st Transferor company. This loan amount was expended towards pre-operative expenses for real estate consultants, architect, legal and professional charges, travelling charges and interest paid to the 1st Transferor Company for the proposed real estate projects. Further, the amount of Inter Corporate deposits received by the subject company from 1st Transferor Company and its proper expenditure towards pre-operative expenses as pre-operative in nature is reflected in the balance sheet and bank statement furnished by the company along with the reply. Hence, it is concluded by the RoC in his report that the subject company had maintained its books of accounts as per the provisions of the Companies Act, 2013 and that the accounts also reflect true and fair view of the transactions with reference to the expenses in particular. A copy of the Report of the RoC has been annexed as Annexure A to the OL's Report dated 20.12.2021.

Therefore, the OL in his latest report dated 20.12.2021 has submitted that as per the RoC's report, there is no violation of Sections 128 and 129 of the Companies Act, 2013.

11. Apart from the above observations made by the Chartered Accountants, the Official Liquidator has also sought to fix the remunerations payable to the Auditor who has investigated into the affairs of the 2nd Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company 2 to pay a sum of

Rs.50,000/- (Rupees Fifty Thousand Only) to the Official Liquidator for the payment of fees payable towards the Auditor.

12. Despite notice being served, there is no representation from the Income Tax Authority.

13. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

14. The Petitioner Company has complied with proviso to Section 230 (7) / Section 232 (3) by filing the certificate of the Company's Auditor in relation to compliance with the Accounting Standards, the applicable Accounting Standards notified by the Central Government and Section 2(43) of the Companies Act, 2013 and the rules framed

thereunder. A copy of certificate of Statutory Authority regarding the compliance with the relevant Accounting Standards for Accounting Treatment in the Scheme has been annexed as Annexure H to the typed set of Petition.

15. The Petitioner Company have submitted that no investigation proceedings are pending against it under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the Petitioner Company for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

16. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation annexed as Annexure "E" with the Company Petition as well as the prayer made therein.

17. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner.

18. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

19. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company-2 shall pursuant to section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company-2 shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Transferor Company-2 be continued by or against the Transferee Company.

(iv) That all the employees of the Transferor Company-2 in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(v) That the Transferee Company do without further application allot to such members of the Transferor Company – 2, as have not given such notice of dissent, as is required by 11.1 (a) of the SCHEME OF AMALGAMATION herein the shares in the Transferee Company to which they are entitled under the said SCHEME OF AMALGAMATION

(vi) That the Appointed date for the Scheme shall be **1st April 2017.** However, the Effective Date of the Scheme shall be the last dates on which the certified copy of this Order sanctioning the Scheme is filed with the Registrar of Companies, Chennai by the Transferor Company- 2 and the Transferor Company -1 and Transferee Company with the concerned Registrar of Companies.

(vii) That the Transferee Company shall make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company -2, shall within thirty days of the date of the receipt of this Order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company-2 shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company-2 and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to both the said both companies shall be consolidated accordingly.

(ix) That any person interest shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

20. Accordingly, the Company Petition stands **Allowed** on the aforementioned terms.

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

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